



Growth Of Digital Payment System In Nepal

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Introduction

Any financial transaction that occurs without the physical exchange of cash, using digital channels is termed as digital payment.

- **The Nepalese Ecosystem:** Esewa, Khalti, etc
- **Drivers of Change:** Smartphone penetration; affordable mobile data
- **The COVID-19 Catalyst:** Turning point; rapid shift



Problem Statements

There are various factors that are hindering the growth of digital payment systems in Nepal which are as follows:-

- **Security Concerns:** Phishing,online scams
- **The Rural-Urban Divide:** Internet Connectivity
- **The Knowledge Gap:** Digital literacy; errors and frauds
- **Generational Trust Barrier:** Skeptical of digital systems



Proposed Solutions

- **Enhanced Security:** MFA and advanced encryption.
- **Public Awareness:** "Digital Safety" campaigns
- **Infrastructure Investment:** Expansion of 4G/5G networks
- **Government Policy:** Strengthening Nepal Rastra Bank (NRB) regulations to protect consumer rights.



Methodology

- **Data Collection:** Official reports and statistical bulletins
- **Secondary Research:** Academic articles and news journals
- **Trend Analysis:** Shift in consumer behavior
- **Case Studies:** Examined growth trajectory of leading Nepali digital wallets.



Timeline of Growth

- **2010–2015 (The Inception):** Introduction of early digital wallets
- **2016–2019 (Adoption):** Expansion of merchant networks
- **2020–2021 (The Surge):** Massive spike in adoption
- **2022–Present (The QR Era):** Standardized QR payments



Cost Estimate & Investment

- **Technical Infrastructure:** Server maintenance and cybersecurity software
- **Network Expansion:** High-speed internet to rural provinces
- **Human Capital:** Training bank staff and educating the general public
- **Operational Costs:** Licensing fees and regulatory compliance costs.



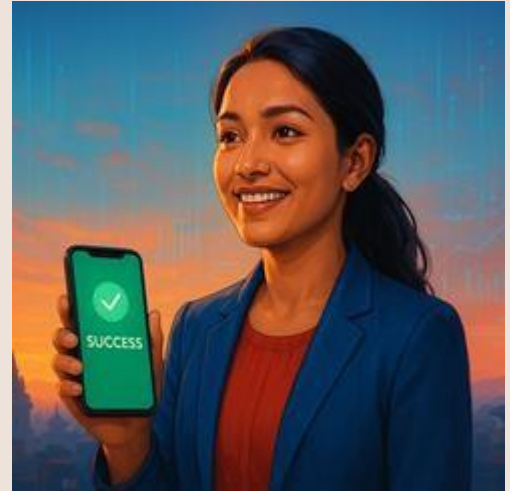
Expected Impact

- **Economic Efficiency:** Faster, real-time transactions
- **Financial Inclusion:** “Unbanked” population into the formal financial system
- **Business Growth:** Empowering SMEs
- **Transparency:** Reducing the "grey economy"
- **Environmental Impact:** Reduce the carbon footprint; electronic waste (e-waste) from cards and terminals



Conclusion

- **Summary:** Nepal is witnessing a fintech revolution that is reshaping the economy.
- **Critical Need:** Education and security
- **Vision:** A "Less-Cash" society
- **Closing Thought:** Digital payments are the backbone of a modern, prosperous Nepal.



**Thank you for your time and
attention!**

Questions? We'd love to hear your thoughts.